

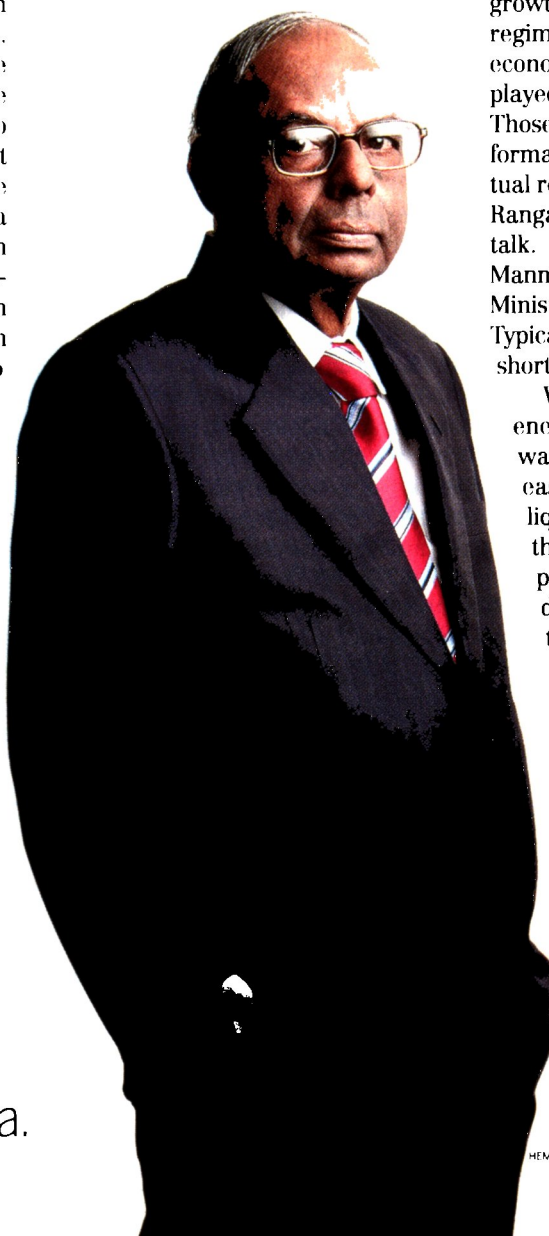
Five-Year Plan, was titled, "Towards faster and more inclusive growth". The 66-year-old St. Stephen's and Oxford-educated economist not only talks the prime minister's talk, he has also walked Manmohan's walk through the 1991 reforms and ever since.

"Having weathered the worst economic crisis in decades, we now need to get back to rapid growth while ensuring that the growth is also inclusive," Ahluwalia told INDIA TODAY when asked about the PMO's priorities. The challenge of course has changed since 1991 where the need of the hour was to initiate economic reforms. Now the task before Manmohan is to build the institutions and mechanisms that deliver the benefits of these reforms to the lowest level. And to help Manmohan deliver is his favourite strategist. According to PMO officials, the prime minister has made it clear that he wants the Planning Commission to adopt a proactive role to ensure that the Government was on the same page as the Congress manifesto. This at a time when the Planning Commission was losing its relevance post-liberalisation, but having Ahluwalia at its helm has made it relevant again. In Ahluwalia's case, it is the person who defines the institution and not the other way around. From drought and fiscal deficit to interest rates, the articulate Montek will have a reassuring soundbite. It also helps that his point of view very often matches the prime minister's.

It's not just the domestic front but the suave Ahluwalia is also Manmohan's point man in the global arena. Last year when the prime minister went to the G-20

summit on the financial crisis, Ahluwalia was sent ahead of him to work out the details. The duo, also known at the Oxford Blues because of their almost identical blue turbans, impressed world leaders with their panacea for recession which incidentally harked back to that old familiar phrase: inclusive growth. It is no surprise then that an ordinary day in Ahluwalia's life begins with a meeting with the prime minister to discuss Parliament questions, and then has various Cabinet Ministers dropping into his office. His suave persona and an understated aura of power has also ensured that he is a popular invitee at prominent social gatherings.

by Priya Sahgal



■ C. Rangarajan

HEAD, PM'S ECONOMIC
ADVISORY COUNCIL

SOUNDING BOARD

He is one who discusses with the prime minister issues as diverse as reforms, energy pricing and emission controls

Even though Rangarajan is not part of the PMO, his proximity to the prime minister ensures that he influences government policy. Both former governors of the Reserve Bank, Rangarajan and Manmohan have been partners in managing the economic crisis of 1991 and growth in the first four years of the UPA regime. One of the most distinguished economists in India, Rangarajan has played a key role in economic reforms. Those in the PMO remark on the easy informality between the two bound by mutual respect. The prime minister values Rangarajan for his candour and straight talk. It was not surprising then that Manmohan chose him to head the Prime Minister's Economic Advisory Council. Typical of old colleagues, the duo meet at short notice to exchange notes.

When the global meltdown threatened the Indian financial system, it was Rangarajan who advocated an easy money policy to prevent a liquidity crunch. He has also pushed the need for better yields and improved agricultural output to bring down prices. Such is the nature of the relationship that they meet often to discuss a range of issues whether it is energy pricing or the impact of emission control and climate change on the future of the economy. The longstanding relationship doesn't stand in the way of honest views and dissent. Rangarajan was critical of the 2009-10 budget but that didn't stop Manmohan from inviting him to be the chairman of the Economic Advisory Council. Clearly it is a meeting of economic minds that drives their relationship and is helping the Government's agenda.

HEMANT CHAWLA/www.indiatodayimages.com

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